

How to Read Academic Papers in Finance

Bingfeng CEN

SoF, SHUFE

Why This Matters

- ▶ Why learn to read academic papers?
 - ▶ Core skill for your degree and career
 - ▶ Saves hours of frustration
 - ▶ Helps you:
 - ▶ Keep up with research
 - ▶ Prepare for dissertations
 - ▶ Write literature reviews
 - ▶ Understand course material deeply

Overview

- ▶ **The Anatomy** – Types of finance papers
- ▶ **The Method** – How to read strategically
 - ▶ Based on the Three-Pass Method (Keshav, 2007)
- ▶ **The System** – How to keep records for future

Types of finance papers

- ▶ Academic Papers Come in Types
 - ▶ Each type has a different purpose and structure
 - ▶ Knowing the type = knowing what to look for
- ▶ Main Types
 - ▶ Theory Paper
 - ▶ Empirical Paper, Empirical paper with a small sample
 - ▶ Experimental
 - ▶ Methodological
 - ▶ Review Paper
 - ▶ Replication/Meta-Analysis

Type 1 – Theory Paper

- ▶ Goal: Develop a new model or theory
- ▶ Core: Abstract reasoning + mathematical proof
- ▶ Structure:
 1. Introduction (motivation + question)
 2. The Model (assumptions + equations)
 3. Proofs / Calibration
 4. Conclusion (implications + testable predictions)
- ▶ Example: Black-Scholes option pricing model
- ▶ How to read: Focus on assumptions + implications. Don't fear the math.

Type 2 – Empirical Paper

- ▶ Goal: Test a hypothesis with data
- ▶ Core: Evidence + statistical analysis
- ▶ Structure:
 1. Introduction (question)
 2. Data & Summary Statistics
 3. Methodology (regression model)
 4. Results (tables + findings)
 5. Robustness Checks
 6. Conclusion
- ▶ Example: "Does gender diversity on boards affect firm performance?"
- ▶ How to read: Focus on Data, Methodology, Results. Look at the tables!

Type 2b – Empirical with a Small Model

- ▶ Goal: Use simple theory to guide empirical testing
- ▶ Core: Model motivates the hypothesis
- ▶ Structure:
 1. Conceptual Framework / Simple Model (*short section*)
 2. Makes a clear, testable prediction
 3. Then standard empirical sections (Data, Results, etc.)
- ▶ Example: Model shows why CEOs might prefer stock compensation → test if firms with more stock compensation perform better
- ▶ How to read: Understand the model's prediction. Then read it like an empirical paper.

Type 4 – Experimental Paper

- ▶ **Goal:** Study behavior in controlled settings
- ▶ **Core:** Lab/field design + human subjects
- ▶ **Structure:**
 1. Introduction
 2. Theory / Hypotheses
 3. Experimental Design (treatments, variables)
 4. Procedures (subjects, incentives)
 5. Results
 6. Discussion + Conclusion
- ▶ **Example:** Testing if traders form bubbles in simulated asset markets
- ▶ **How to read:** Focus on Design, Treatments, Incentives. Are subjects properly motivated?

Type 5 – Methodological Paper

- ▶ **Goal:** Introduce, compare, or validate research methods
- ▶ **Core:** Focus on how research should be done, not new findings
- ▶ **Structure:**
 1. Introduction (what problem with existing methods?)
 2. Description of new method / technique
 3. Validation (simulations or applications)
 4. Comparison with existing approaches
 5. Conclusion + recommendations
- ▶ **Example:** "A New Approach to Testing for Market Efficiency Using Machine Learning"
- ▶ **How to read:** Focus on what problem it solves and whether you could apply this method in your own work

Type 5 – Review Paper

- ▶ **Goal:** Summarize and synthesize existing research
- ▶ **Core:** No new results – but a roadmap of the field
- ▶ **Structure:**
 1. Introduction (scope)
 2. Thematic sections (organizes literature)
 3. Discussion + Future Research
 4. Comprehensive references
- ▶ **Example:** "Thirty Years of Prospect Theory in Finance: A Review"
- ▶ **How to read:** Your best friend when starting a new topic! Read for big picture + key papers.

Type 6 – Replication / Meta-Analysis

	Replication Study	Meta-Analysis
Goal	Verify previous findings	Statistically combine multiple studies
Core	Repeat original methodology exactly	Pool effect sizes across papers
Output	Confirm or challenge original results	Overall conclusion from all evidence
Example	Repeating a famous CEO pay study with same data	Combining 50 studies on CEO pay → true effect size

Quick Recap – Paper Types

Type	Focus	Where to look first (conditional on decision to read in detail)
Theory	Model + assumptions	Assumptions + Implications
Empirical	Data + evidence	Tables + Results
Empirical + Model	Prediction + test	Model prediction, then tables
Experimental	Lab behavior + treatments	Design + Incentives
Methodological	New techniques	Problem being solved
Review	Summary of field	Whole paper (it's all useful)
Replication/Meta	Verify / combine	Success of replication? Overall effect?

The Three-Pass Method

- ▶ **Don't Read Like a Novel!**
- ▶ Most students: start at page 1, read to end → inefficient
- ▶ **Better:** Three passes, each with a clear goal
- ▶ Based on Keshav (2007) – "How to Read a Paper"

Pass 1 – The Bird's-Eye View

- ▶ **Pass 1** (5–10 minutes)
- ▶ **Goal:** Get general idea + decide if you need to read further
- ▶ **Steps:**
 1. Read title + abstract
 - Think about the research design if you were the author
 2. Read introduction (especially last paragraph)
 3. Read section headings
 4. Read conclusion
 5. (Optional) Glance at references
- ▶ **At the end:** You should answer the 5 Cs (next slide)

Cookson et al. (2026) - Abstract

Can Social Media Inform Corporate Decisions? Evidence from Merger Withdrawals

J. ANTHONY COOKSON, MARINA NIESSNER, and CHRISTOPH SCHILLER*

ABSTRACT

This paper studies whether social media sentiment predicts merger withdrawals. We find that a one-standard-deviation increase in social media sentiment after a merger announcement is associated with a 0.64 percentage point lower probability of withdrawal (16.6% of the average). This effect is unexplained by abnormal price reactions, traditional news, and analyst recommendations. Consistent with manager learning, the informativeness of social media strengthens after firms start corporate Twitter accounts. The informativeness is driven by longer acquisition-related tweets by fundamental investors, rather than memes and price trend tweets. These findings suggest that social media signals can be important for corporate decisions.

The 5 Cs

After Pass 1, ask:

1. Category: What type of paper? (Theory? Empirical? Review?)
 2. Context: What field? (Corporate finance? Asset pricing?)
 3. Correctness: Do assumptions seem reasonable?
 4. Contributions: What is the main claim?
 5. Clarity: Is it well-written?
- **Decision:** Stop here (if not relevant) OR continue to Pass 2

Pass 2 – The Grasp

- ▶ **Pass 2** (About 1 hour)
- ▶ **Goal:** Understand main argument + evidence (not every detail)
- ▶ **Steps:**
 1. Read with more care
 2. Skip complex math / long proofs
 3. Focus on figures and tables – this is the evidence!
 4. Jot notes in margins
 5. Mark important references for later
- ▶ **At the end:** Can you summarize the paper's main argument + evidence to a classmate?

Reading Tables Like a Pro

- ▶ Tips for Regression Tables:
 - ▶ Look at main variables of interest
 - ▶ Check for stars (***, **, *) – statistical significance
 - ▶ Ask: Is the effect economically large?
 - ▶ Look at sample size (N) and R-squared
- ▶ Tips for Graphs:
 - ▶ Are axes labeled?
 - ▶ Do they show error bars?
 - ▶ What story does the graph tell?

Cookson et al. (2026)

- Main Table

- Linear Probability regression
- Statistical Significance
- Economic Significance

Panel B: StockTwits versus Twitter Sentiment

	1(<i>Deal Withdrawn</i>)		
	(1)	(2)	(3)
<i>Abn. Sentiment (z) (StTw)</i>	-0.7060** (0.2796)		-0.5925** (0.2839)
<i>Abn. Sentiment (z) (SMA-Tw)</i>		-1.075*** (0.2705)	-0.9981*** (0.2804)
<i>CAR Acq. (z) [-1;10]</i>	-1.145*** (0.2713)	-0.9775*** (0.2748)	-0.9609*** (0.2706)
<i>CAR Acq. (z) [-5;-1]</i>	0.4592 (0.3158)	0.4610 (0.3125)	0.4504 (0.3117)
<i>News Sentiment Acq. (z)</i>	-1.330*** (0.2969)	-1.253*** (0.2955)	-1.266*** (0.2948)
<i>Log Deal Value (\$B)</i>	7.672*** (0.9369)	8.176*** (0.9439)	8.151*** (0.9433)
<i>% Shares Held Prior</i>	0.0346 (0.0335)	0.0322 (0.0331)	0.0326 (0.0329)
<i>Acq. White Knight (0/1)</i>	-8.539 (16.50)	-9.037 (16.28)	-8.838 (16.37)
<i>Competing Bidder (0/1)</i>	42.64*** (6.074)	42.62*** (6.029)	42.62*** (6.036)
<i>Rumored Deal (0/1)</i>	-0.6059 (1.410)	-0.5472 (1.431)	-0.5514 (1.423)
<i>Hostile Deal (0/1)</i>	79.80*** (5.116)	78.95*** (5.265)	79.07*** (5.284)
<i>Termination Fee Target (\$M)</i>	-0.0150*** (0.0045)	-0.0145*** (0.0044)	-0.0145*** (0.0045)
<i>N Tweets</i>	-0.0002 (0.0003)	-0.0001 (0.0003)	-0.0002 (0.0003)
<i>N News Articles</i>	0.0023 (0.0082)	0.0024 (0.0080)	0.0023 (0.0079)
<i>Mean(LHS)</i>	3.864	3.885	3.756
<i>Observations</i>	4,553	4,553	4,553
<i>R²</i>	0.2203	0.2215	0.2223
<i>Firm Controls</i>	✓	✓	✓
<i>Year-by-Quarter FE</i>	✓	✓	✓
<i>Acq. Industry (GIC2) FE</i>	✓	✓	✓

Cookson et al. (2026) – Figure 3

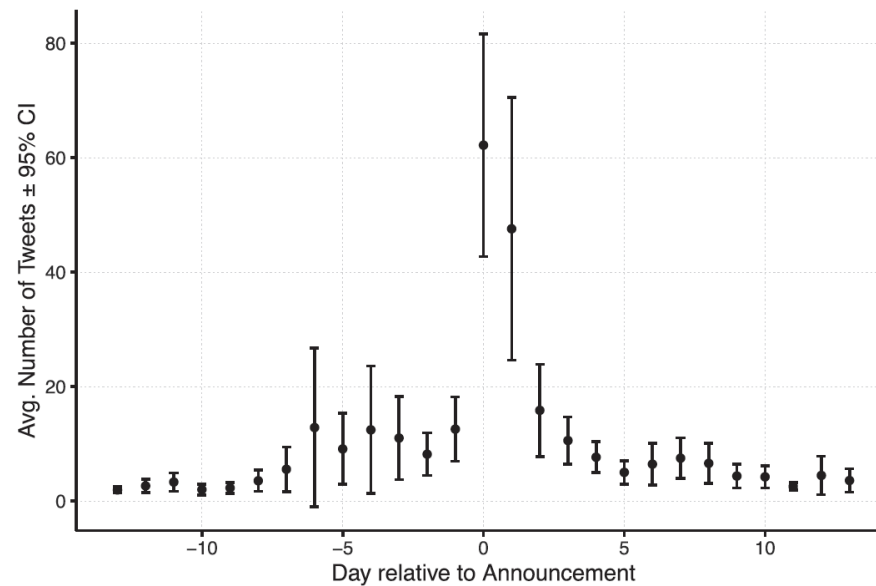


Figure 3. Tweets about acquirer that include target ticker. This figure shows the average and 95% confidence interval of the number of tweets about the acquiring firm posted to StockTwits around the announcement of an M&A deal that also include the ticker of the target firm, relative to the deal announcement date. The sample underlying this figure only includes deals with publicly listed target firms, as private firms do not have a “cashtag” in StockTwits.

Pass 3 – The Deep Dive

Pass 3 (4–5 hours beginners, 1 hour experts)

- ▶ **Goal:** Complete understanding – for papers you'll review, build on, or present
- ▶ **The key:** "Virtually re-implement" the paper
- ▶ Steps:
 1. Challenge every assumption
 2. Re-derive the math
 3. Re-create the empirical test in your mind
 4. Examine robustness checks
- ▶ Ask "What's next?" – future research ideas
- ▶ At the end: Can you reconstruct the entire paper from memory? Can you discuss strengths + weaknesses?

Three Passes – Summary

Pass	Time	Goal
1	5–10 min	Bird's-eye view + decide relevance
2	~1 hour	Grasp main argument + evidence
3	1–5 hours	Deep understanding + critique

Keeping Records

Why Keep Records?

- ▶ You will forget!
- ▶ Future you (writing a dissertation) will thank you
- ▶ Essential for literature reviews
- ▶ Helps you connect ideas across papers

"The faintest pencil is better than the sharpest memory."

Option 1 – The Spreadsheet

Simple tools: Excel or any similar tools

Column	What to write
Full Citation	Author, Year, Title, Journal
Paper Type	Theory, Empirical, Review
Research Question	What question?
Data/Methodology	What data? What method?
Main Results	Key findings
Key Contributions	Why does this matter?
One-Sentence Summary	Your personal takeaway
Link/File	Where to find PDF
Notes/Quotes	Your thoughts, critiques

Spreadsheet Example

Citation	Fama & French (1992), Journal of Finance
Type	Empirical
Question	What explains stock returns?
Data	US stocks 1963–1990
Methodology	
Main Results	Size + Value matter; Beta doesn't
One-Sentence Summary	"Size and Value drive returns, not just market risk."

Option 2 – Reference Managers

Powerful Tools: Zotero, Mendeley, EndNote

► **Benefits:**

- One-click import from web
- Store + annotate PDFs
- Searchable notes
- Auto-generate bibliographies (huge time saver!)

► **Recommendation:** Start with Zotero – free, easy, widely used.

- Tip: download the paper and use “link to file”

Option 3 – Digital Notes

Advance: Notion, Obsidian, Roam Research

- ▶ **Benefits:**
 - ▶ Create linked databases
 - ▶ Connect ideas across papers
 - ▶ Build a "second brain" for research
- ▶ **Best for:** Students planning a thesis or long-term research

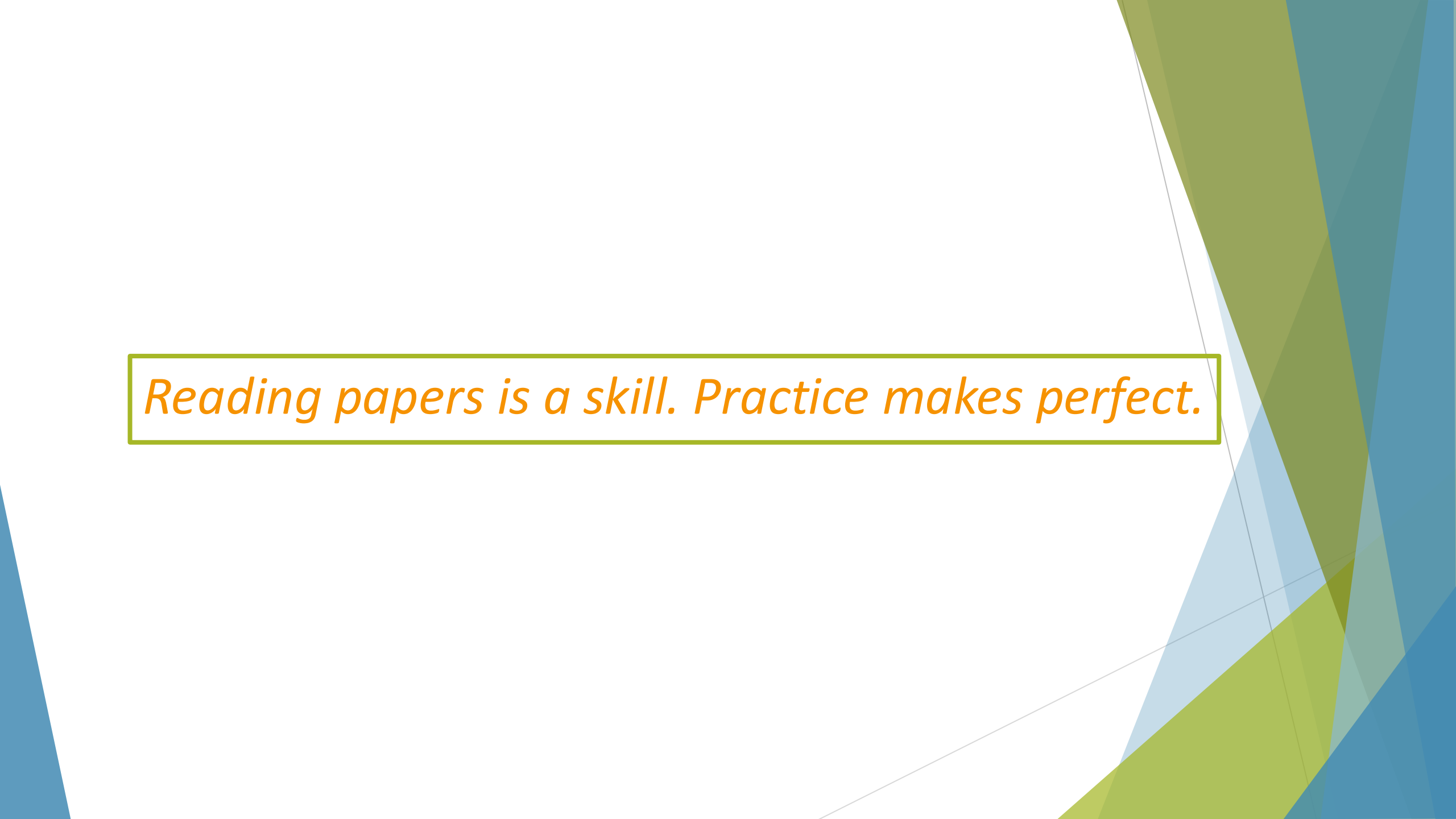
Which system to use?

System	Best for
Spreadsheet	Getting started, small projects
Zotero/Mendeley	Serious students, dissertations
Notion/Obsidian	Building connected knowledge

Personally, I combine Zotero, Notion, Obsidian.

Final Tips

- ▶ Remember:
 - ▶ Not every paper deserves a full Pass 3
 - ▶ Skim first, then dive deep only when needed
 - ▶ Build your reference library early
 - ▶ Connect papers – they talk to each other!
 - ▶ **Review your notes, and reorganize if necessary!**
- ▶ **For your literature review:** Start with a recent review paper. Use its references as your reading list.



Reading papers is a skill. Practice makes perfect.